

The Hong Kong Polytechnic University

Subject Description Form

Subject Code	AAE5113
Subject Title	Modern Treasury and Finance Strategies in Aviation
Credit Value	3
Level	5
Pre-requisite/ Co-requisite/ Exclusion	Nil
Objectives	This subject will provide students with 1. a comprehensive understanding of modern treasury and finance strategies in the aviation industry; 2. knowledge of financial management in aviation organisations, including treasury operations, financial risk management, and investment strategies; 3. insight into the unique challenges and opportunities related to financial management in the aviation sector; 4. skills to analyse, design, and implement financial decision-making processes in the aviation industry.
Intended Learning Outcomes	Upon completion of the subject, students will be able to: a. understand the fundamental concepts and principles of treasury and finance strategies in the aviation industry; b. analyse the financial risks and challenges faced by aviation organisations and develop strategies to mitigate them; c. evaluate investment opportunities and make informed financial decisions in the aviation context; d. apply financial tools and techniques to optimise treasury operations and enhance financial performance in aviation organisations.
Subject Synopsis/ Indicative Syllabus	Introduction to Aviation Finance: Overview of aviation finance and its importance in the aviation industry; Roles and responsibilities of treasury and finance departments in aviation organisations. Financial Risk Management in Aviation: Identification and assessment of financial risks in aviation; Strategies for managing financial risks, including hedging, insurance, and derivatives. Investment Strategies in Aviation: Evaluation of investment opportunities in the aviation sector, including aircraft acquisition, leasing, and infrastructure development; Financial analysis techniques for investment decision-making.

	Treasury Operations in Aviation: Cash management and liquidity planning in aviation organisations; Financial reporting and analysis for treasury operations; Financing strategies and capital structure in aviation. Financial Decision-Making in Aviation: Cost of capital and investment appraisal techniques in aviation projects; Financial planning and budgeting in aviation organisations; Performance measurement and financial control in the aviation industry.																																		
Teaching/Learning Methodology	Teaching is conducted through class lectures, which will provide the theoretical foundation and practical insights into treasury and finance strategies in aviation. Case studies will be included in the lectures to analyze real-world scenarios and develop problem-solving skills. <table><tr><th rowspan="2">Teaching/Learning Methodology</th><th colspan="4">Outcomes</th></tr><tr><th>a</th><th>b</th><th>c</th><th>d</th></tr><tr><td>Lecture</td><td>√</td><td>√</td><td>√</td><td>√</td></tr></table>	Teaching/Learning Methodology	Outcomes				a	b	c	d	Lecture	√	√	√	√																				
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Assessment Methods in Alignment with Intended Learning Outcomes	<table><tr><th rowspan="2">Specific assessment methods/tasks</th><th rowspan="2">% weighting</th><th colspan="4">Intended subject learning outcomes to be assessed (Please tick as appropriate)</th></tr><tr><th>a</th><th>b</th><th>c</th><th>d</th></tr><tr><td>1. Assignment</td><td>30%</td><td></td><td>√</td><td>√</td><td>√</td></tr><tr><td>2. Group project</td><td>20%</td><td>√</td><td>√</td><td>√</td><td>√</td></tr><tr><td>3. Final examination</td><td>50%</td><td>√</td><td>√</td><td>√</td><td>√</td></tr><tr><td>Total</td><td>100 %</td><td colspan="4"></td></tr></table> Explanation of the appropriateness of the assessment methods in assessing the intended learning outcomes: Overall Assessment: 0.5 × Continuous Assessment + 0.5 × Final Examination The continuous assessment (50%) is aimed at enhancing the students’ comprehension and assimilation of various topics of the syllabus via assignments and projects. The final examination (50%) will also be considered to assess the students' learning outcome.	Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed (Please tick as appropriate)				a	b	c	d	1. Assignment	30%		√	√	√	2. Group project	20%	√	√	√	√	3. Final examination	50%	√	√	√	√	Total	100 %				
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Student Study Effort Expected	<table><tr><td>Class contact:</td><td></td></tr><tr><td>▪ Lecture</td><td>39 Hrs.</td></tr><tr><td>Other student study effort:</td><td></td></tr><tr><td>▪ Self-learning/preparation</td><td>36 Hrs.</td></tr></table>	Class contact:		▪ Lecture	39 Hrs.	Other student study effort:		▪ Self-learning/preparation	36 Hrs.																										
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	▪ Literature study/case study/reading	36 Hrs.
	Total student study effort	111 Hrs.
Reading List and References	1. Morrell, Peter S. Airline finance. Routledge, 2021. 2. Holloway, Stephen. Straight and level: Practical airline economics. Routledge, 2016. 3. Vasigh, Bijan, and Zane C. Rowe. Foundations of airline finance: Methodology and practice. Routledge, 2019. 4. Guzhva, Vitaly, Sunder Raghavan, and Damon J. D'Agostino. Aircraft leasing and financing: Tools for success in international aircraft acquisition and management. Elsevier, 2018. 5. Jorge-Calderón, Doramas. Aviation investment: economic appraisal for airports, air traffic management, airlines and aeronautics. Routledge, 2016.	

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